

Security, they don't have to worry about product allocation or converting their nest egg into more pension income. Indeed, the billionaire Bill Gates does not need an annuity. He will never outlive his money, even if he doesn't have a defined benefit pension from Microsoft.

Obviously, many variations exist on Table 11.2. Needless to say, if you are thinking of retiring at a younger age (say 60 or 55), then your investment wealth multiple—the first column in Table 11.2—should be higher to get a high grade in the safe region. Likewise, if you are retiring in your early or late 70s, you might not need as much. Also, if you are trying to protect a spouse and are planning for two people, then you should do these calculations jointly. Compute your total income gap and the total amount of assets to support that gap. Also, and just as importantly, there are health risks that go beyond the financial realm, which is why you should consider long-term care insurance, or at the very least learn something about it, so that you can talk intelligently about why you are not insuring against this risk. This is the beginning of a planning process, not the end. A new generation of retirement income products are now available. Figure 11.1 is just one indication that there is more innovation to come.



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Figure 11.1 Innovation in the insurance industry.